

WHY GOLD WILL KEEP SHINING

SACHIN JAIN, *Regional CEO (India), World Gold Council*



Every time income or wealth in the hands of Indians goes up by 1 per cent, we see a 0.9 per cent increase in the demand for gold

Last year's 75% return perhaps won't repeat and shouldn't, as it negatively impacts the essence of gold from a consumption perspective

In a world racked by geopolitical uncertainty, rising global debt and changing investment behaviour, gold is one bet that usually pays off. Deliberating the power of the yellow metal, Sachin Jain, regional CEO (India) of the World Gold Council, spoke of how the nature of the demand for gold has evolved significantly over the past three decades. Western markets, the demand for jewellery dictated its consumption earlier, and central banks were net sellers. Today, developing markets account for over 70 per cent of global gold consumption and demand is diversified across jewellery, investment as safe-haven asset, central bank reserves and technology, including electronics and renewable energy systems.

KEY TAKEAWAYS

- **Gold should be viewed from a very long-term perspective**
- **It is a great diversifier; about 10-15% of the metal in any investment portfolio improves its health considerably**
- **With fiat currencies being printed widely, confidence in them is lesser; hence, gold's importance is higher**

Despite the price surge, Jain stressed that gold be viewed not as speculative investment but as long-term portfolio diversifier and hedge against uncertainty. He added that younger investors are increasingly moving toward digital forms of gold such as ETFs (exchange-traded funds). Describing the future of gold as "very interesting" for India, he noted that the sector contributes about 1.5 per cent to India's GDP and employs nearly six million people.

As the council maps its role under its Swarnim Bharat 2047 project, nearly a third of India's demand could be met domestically through increased mining over the next decade, he said. Also, part of the estimated 25,000-30,000 tonnes of household gold could be mobilised for more productive use—bringing idle wealth into the economic mainstream. ■

Photographs by **BANDEEP SINGH**